

Strides for Multifaceted Growth

INTERIM FINANCIAL
STATEMENTS
FOR THE PERIOD ENDED
30TH JUNE 2023



Arpico Insurance PLC
Interim Financial Statements - Quarter 2 - 2023

Income Statement

For the period ended 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Gross Written Premium	1,306,083,723	1,118,691,519
Premium ceded to reinsurers	(55,543,005)	(25,337,331)
Net written premium	1,250,540,718	1,093,354,188
Other revenue		
Fees and commission income	18,263,856	20,099,215
Investment income	297,941,638	174,969,298
Fair value gains	9,630,334	4,288,510
Other operating revenue	3,498,957	2,524,326
Total Other revenue	329,334,785	201,881,349
Total net revenue	1,579,875,503	1,295,235,537
Benefits, claims and expenses		
Net Insurance Benefits and Claims Paid	(715,939,950)	(286,617,732)
Net change in insurance claims outstanding	(6,695,304)	-
Underwriting and net acquisition costs	(309,767,394)	(330,891,170)
Change in contract liabilities - life fund	8,973,460	(135,859,860)
Other operating, administrative and selling expenses	(384,832,304)	(420,721,913)
Depreciation and amortisation	(47,898,637)	(38,135,801)
Total benefits, claims and expenses	(1,456,160,129)	(1,212,226,476)
Profit/(Loss) before Taxation	123,715,374	83,009,061
Income Tax Expense	(34,164,630)	(19,922,175)
Profit/(Loss) for the Period	89,550,744	63,086,886
Profit/(Loss) attributable to:		
Equity holders of the Company	89,550,744	63,086,886
Basic Earning per Share (LKR)	1.35	0.95
Diluted Earning per Share (LKR)	1.35	0.95

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Statement of Other Comprehensive Income

For the period ended 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Profit/(Loss) for the Period	89,550,523	83,009,061
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	(78,579,016)	(149,474,854)
Net change in liabilities of insurance contracts arising from fair value		
Net change in fair value of AFS reserve transferred to insurance Liabilities	13,145,799	44,602,398
Items that will never be reclassified to profit or loss		
Total Other comprehensive income, net of tax	<u>(65,433,217)</u>	<u>(104,872,456)</u>
Total comprehensive Income/(Loss) for the Period, Net of Tax	<u>24,117,307</u>	<u>(21,863,395)</u>

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Income Statement

For three months ended 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Gross Written Premium	575,937,228	509,814,602
Premium ceded to reinsurers	(31,862,552)	(15,242,382)
Net written premium	544,074,676	494,572,220
Other revenue		
Fees and commission income	11,696,200	11,535,738
Investment income	152,841,542	100,566,660
Fair value gains	5,912,667	2,809,084
Other operating revenue	(292,991)	1,135,943
Total Other revenue	170,157,418	116,047,425
Total net revenue	714,232,094	610,619,645
Benefits, claims and expenses		
Net Insurance Benefits and Claims Paid	(313,342,297)	(133,712,098)
Net change in insurance claims outstanding	(12,190,042)	-
Underwriting and net acquisition costs	(156,659,555)	(164,382,493)
Change in contract liabilities - life fund	19,219,838	(49,109,344)
Other operating, administrative and selling expenses	(161,066,802)	(189,920,046)
Depreciation and amortisation	(26,010,105)	(16,882,399)
Total benefits, claims and expenses	(650,048,963)	(554,006,380)
Profit/(Loss) before Taxation	64,183,131	56,613,265
Income Tax Expense	(17,292,910)	(13,587,184)
Profit/(Loss) for the Period	46,890,221	43,026,081
Profit/(Loss) attributable to:		
Equity holders of the Company	46,890,221	43,026,081
Basic Earning per Share (LKR)	0.71	0.65
Diluted Earning per Share (LKR)	0.71	0.65

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Statament of Other Comprehensive Income

For three months ended 30 June	Un Audited 2023		Un Audited 2022	
	LKR	'000	LKR	'000
Profit/(Loss) for the Period	46,890,221		56,613,265	
Other Comprehensive Income/(Loss)				
Net change in fair value of available-for-sale financial assets	41,995,000		(105,679,600)	
Net change in liabilities of insurance contracts arising from fair				
Net change in fair value of AFS reserve transferred to insurance Liabilities	(11,453,000)		3,517,000	
Items that will never be reclassified to profit or loss				
Total Other comprehensive income, net of tax	30,542,000		(102,162,600)	
Total comprehensive Income/(Loss) for the Period, Net of Tax	77,432,221		(45,549,335)	

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STATEMENT OF FINANCIAL POSITION

As at	Un Audited 2023 LKR '000	Audited 2022 LKR '000
Assets		
Intangible assets	930,902	1,118,327
Property, plant and equipment	72,797,359	75,284,032
Right of use assets	141,328,513	163,439,549
Financial assets	3,851,180,039	3,681,717,640
Loans to life policyholders	253,557,629	321,812,161
Reinsurance receivables	4,613,031	1,902,666
Amounts due from related parties	28,652,771	21,654,039
Premium receivable	172,722,931	99,334,584
Other assets	92,421,765	83,994,218
Cash and cash equivalents	148,014,129	169,799,679
Total Assets	4,766,219,069	4,620,056,895
Equity and Liabilities		
Equity		
Stated capital	675,564,870	675,564,870
Retained earnings	1,547,996,244	1,458,445,721
Available for sale reserves	(138,113,936)	(216,692,952)
Total Equity	2,085,447,178	1,917,317,639
Liabilities		
Insurance contract liabilities	2,246,032,709	2,241,859,388
Employee benefit obligation	21,126,134	17,057,855
Reinsurance payables	40,993,777	32,402,323
Lease liabilities	153,032,652	175,394,254
Amounts due to related parties	41,120,677	30,795,272
Other financial liabilities	62,789,647	117,550,937
Other liabilities	115,676,295	87,679,227
Total Liabilities	2,680,771,891	2,702,739,256
Total Equity and Liabilities	4,766,219,069	4,620,056,895

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



S.H. Dulanjith Kaweesha
Finance Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Dilukshika N Fernando
Director
11 August 2023
Colombo.



Lasinee Serasinhe
Director

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STATEMENT OF CHANGES IN EQUITY

	Stated Capital	AFS Reserve	Retained Earnings	Total
	LKR '000	LKR '000	LKR '000	LKR '000
Audited Balance as at 01 January 2022	675,564,870	(26,545,650)	1,422,126,083	2,071,145,303
Profit for the period			83,009,062	83,009,062
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		(149,474,854)		(149,474,854)
Total Comprehensive Income for the Period, Net of Tax				
Unaudited Balance as at 30 June 2022	675,564,870	(176,020,504)	1,505,135,145	2,004,679,511
Profit/(Loss) for the period			(46,772,784)	(46,772,784)
Actuarial loss on defined benefit plan			83,360	83,360
Net change in fair value of available-for-sale financial assets		(40,672,448)		(40,672,448)
Total Comprehensive Income for the Period, Net of Tax				
Audited Balance as at 31 December 2022	675,564,870	(216,692,952)	1,458,445,721	1,917,317,639
Profit for the period			89,550,523	
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		78,579,016		
Total Comprehensive Income for the Period, Net of Tax	-	78,579,016	89,550,523	-
Unaudited Balance as at 30 June 2023	675,564,870	(138,113,936)	1,547,996,244	2,085,447,178

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STATEMENT OF CASH FLOWS

For the period ended 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Cash flows from operating activities		
Insurance premium received	1,232,695,376	1,083,275,883
Reinsurance premium paid	(20,000,000)	(27,340,463)
Insurance benefits and claims paid	(760,138,443)	(297,227,804)
Reinsurance claim received	26,409,214	27,340,462
Other operating cash flows	(719,013,857)	(551,373,881)
Cash generated from operating activities	(240,047,710)	234,674,197
Tax Paid	-	1,248,903
Employee benefits paid	(245,527)	-
Net cash generated from operating activities	(240,293,237)	235,923,100
Cash flows from investing activities		
Acquisition of financial investments	(999,210,037)	(617,213,549)
Acquisition of property, plant and equipment	(10,306,761)	(800,000)
Proceeds from sale of investment securities	737,774,973	501,115,388
Interest received	491,270,325	75,779,252
	-	-
Net Cash Used in Investing Activities	219,528,500	(41,118,909)
Net Cash Flows Before Financing Activities	(20,764,736)	194,804,191
Cash flows from financing activities		
Rent Advance paid for Right of Use Assets	(1,020,730.00)	(23,120,000.00)
Net cash used in financing activities	(1,020,730)	(23,120,000)
Net increase / (Decrease) in cash and cash equivalents	(21,785,467)	171,684,191
Cash and cash equivalents at the beginning of the year	169,799,599	150,015,184
Cash and cash equivalents at the end of the period	148,014,132	321,699,375

Notes to the Financial Statements

1. Reporting Entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, High level Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

2. Approval of Financial Statements

The Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended 30 June 2022 were authorised for issue by the Board of Directors on 11 August 2023.

3. Basis of Preparation

The Financial Statements of the Company have been prepared on an accrual basis under the historical cost convention and applied consistently with no adjustment being made for inflationary factors affecting the Financial Statements except for the financial assets available for sale and financial assets designated at fair value through profit or loss which are measured at fair value and investment properties valued at fair value.

The Condensed Consolidated Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard "LKAS 34 – Interim Financial Reporting". These Interim Financial Statements should be read in conjunction with the Annual Financial Statements for the year ended 31 December 2022. Furthermore, provisions of the Companies Act No. 07 of 2007 have been considered in preparing the Condensed Consolidated Interim Financial Statements of the Company.

The same accounting policies have been followed in preparation of these Interim Financial Statements as stated in the Audited Financial Statements for the year ended 31 December 2022.

4. Gross Written Premium

For the Period Ended 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
First year premium	423,841,921	543,516,554
Renewal premium	518,071,410	518,473,474
Group premium	364,170,392	56,701,491
	<u>1,306,083,723</u>	<u>1,118,691,519</u>

5. Premium Ceded To Reinsurers On Insurance Contracts

For the Period Ended 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Conventional policies		
Total premium ceded to reinsurers	<u>55,543,005</u>	<u>25,337,331</u>
Total net written premium	<u>1,250,540,718</u>	<u>1,093,354,188</u>

Notes to the Financial Statements

6. Investment income

For the Period Ended 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Held to maturity financial assets		
Interest Income	119,071,254	64,703,678
Loans and receivables		
Interest Income	130,174,245	75,371,815
Available For Sale Financial Assets		
Interest Income	48,696,139	31,498,804
Dividend income	-	3,395,001
	<u>297,941,638</u>	<u>174,969,298</u>

7. Income Tax Expense

For the Period Ended 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Income tax on current period profit	34,164,630	(19,922,175)
Total current income tax	<u>34,164,630</u>	<u>(19,922,175)</u>

8. Right of Use Assets

As at 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Openning balance	163,439,549	129,675,417
Additions of right of use lease asset during the period	11,786,011	78,880,660
Depreciation for the period	(34,917,777)	(68,236,528)
Advance payment for leases	1,020,730	23,120,000
Clossing balance	<u>141,328,513</u>	<u>163,439,549</u>

9. Lease liabilities

As at 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Openning balance	175,663,993	157,443,360
Additions during the period	11,786,011	78,880,659
Finance cost recognised in profit and loss	10,656,908	24,480,897
Lease payments	(44,804,520)	(85,410,662)
Clossing balance	<u>153,302,392</u>	<u>175,394,254</u>

Notes to the Financial Statements

10. Financial Assets

As at 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Loans and receivables (10.1)	2,309,077,162	2,153,718,672
Available-for-sale financial assets (10.2)	394,555,275	307,925,670
Held to Maturity (10.3)	1,089,373,289	1,130,191,222
Fair Value through profit & Loss (10.4)	58,174,314	89,882,076
	<u>3,851,180,040</u>	<u>3,681,717,640</u>

10.1 Loans and receivables

	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Amortised cost		
Debentures	663,646,770	794,531,247
Fixed deposit	1,154,532,499	784,289,965
Reverse repurchase agreements	390,897,892	404,752,229
RPAF loan	100,000,000	100,000,000
Treasury bills		70,145,231
	<u>2,309,077,162</u>	<u>2,153,718,672</u>

Available-for-sale financial assets

	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
10.2 Treasury bonds	213,887,462	192,297,670
Quoted equities	180,667,814	115,628,000
	<u>394,555,275</u>	<u>307,925,670</u>

10.3 Held to Maturity

	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Treasury bonds	1,089,373,289	1,130,191,222
	<u>1,089,373,289</u>	<u>1,130,191,222</u>

10.4 Fair Value through profit & Loss

	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Unit trust	58,174,314	89,882,076
	<u>58,174,314</u>	<u>89,882,076</u>

11. Insurance Contract Liabilities

As at	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Balance as at 1 January	2,241,859,388	1,897,003,107
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(8,973,261)	277,169,203
Surplus transferred from / (to) shareholders	-	131,691,505
Increase in life insurance fund		
Movement in AFS reserve transferred to life fund	13,145,799	(64,004,427)
Life Insurance Fund balance as at period end	<u>2,246,031,926</u>	<u>2,241,859,388</u>

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12. Related Party Transactions

12.1 Amounts Due to Related Party

As at 30 June		Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	10,782,832	10,782,831
Richard Pieris Distributors Limited	Fellow Subsidiary	29,982,233	19,656,828
Arpico Interiors (Pvt) Ltd	Fellow Subsidiary	176,138	179,475
Arpitech (pvt) Ltd	Fellow Subsidiary	179,475	176,138
		41,120,677	30,795,272

12.2 Amounts Due From Related Parties

As at 30 June		Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	28,652,771	3,651,383
Richard Pieris Distributors Limited	Fellow Subsidiary		18,002,656
		28,652,771	21,654,039

13. Contingent Liabilities

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30 June 2023, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

14. Events Occurring After The Reporting Date

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

15. Stated Capital

As at 30 June	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Ordinary Shares	675,564,870	675,564,870
	675,564,870	675,564,870
No of Ordinary Shares	66,230,407	66,230,407

16. Share Information

16.1 Net Assets Per Share

As at 30 June	Un Audited 2023 LKR	Un Audited 2022 LKR
Net Assets Per Share	31.49	31.60

16.2 Market Price Per Share

For the quarter ended 30 June	2023 LKR	2022 LKR
Highest Price	20.80	23.40
Lowest Price	18.00	17.50
Closing Price	18.10	22.70
Market Capitalization	1,053,063,471	1,324,608,140
Float Adjusted Market capitalization	105,423,424	132,593,275

17. Public Shareholding

For the quarter ended 30 June	2023 No of Shares	%	2022 No of Shares	%
Public Shareholding	6,630,404	10%	6,630,404	10%

18. Directors' Shareholding

As at 30 June	2023	2022
Mrs. Lasinee Serasinhe	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil
Mr. Ramal Jasinghe	Nil	N/A

19. Twenty Largest Shareholders as at 30 June 2022

Name of Shareholder	No of Shares	%
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29%
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86%
3 RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84%
4 MR.D.G.WIJEMANNA	1,597,105	2.41%
5 MRS.T.T.A.DE SILVA WEERASOORIA	818,275	1.24%
6 MR.C.S.N.SILVAPULLE	668,399	1.01%
7 MR.J.P.PAUL	343,113	0.52%
8 T R L HOLDINGS (PVT) LIMITED	300,000	0.45%
9 MR.A.P.ARUMUGAMPILLAI	200,000	0.30%
10 MR.D.P.NAVARATNAM	181,400	0.27%
11 MR.T.A.N.GOMIS	148,695	0.22%
12 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	135,261	0.20%
13 MR.S.A.OBEYESEKERE	103,300	0.16%
14 TRADING PARTNERS (PVT) LTD	100,000	0.15%
15 CF0025 FLYBRUNEI SDN BHD	99,700	0.15%
16 MR.M.L.A.BENEDICT	93,500	0.14%
17 MR.S.D.L.K.LAKMAL	86,711	0.13%
18 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	86,531	0.13%
19 MR.B.T.DE S WEERASOORIA	80,000	0.12%
20 MR.H.A.S.MADANAYAKE	78,300	0.12%
	64,720,293	97.72%
Others	1,510,114	2.28%
Total	66,230,407	100.00%